

EQUITY RESEARCH

ADVANCED MICRO DEVICES, INC.

AMD | Technology

Rating: Sell

Current: \$336.87 | Target: \$260.00

April 2026

Key Metrics Snapshot

Market Cap	\$549.24B
P/E (Fwd)	80.54
P/B Ratio	5.54

ROE	6.88%
Dividend Yield	0.00%
52W Range	\$91.87 - \$352.99

Investment Thesis

Advanced Micro Devices, Inc. (AMD) is projected to achieve robust revenue growth with a CAGR of 20.5% through 2027, supported by an improving contribution margin expected to reach 52.5%. The company demonstrates strong financial health with anticipated EBITDA margins improving substantially to 42.0% by 2027, reflecting enhanced operational efficiencies. Despite a high current P/E ratio, AMD's growth prospects are reinforced by strategic investments and competitive positioning in the semiconductor industry.

Company Overview

Advanced Micro Devices, Inc. (AMD) is a leading global semiconductor company that designs and manufactures a wide range of innovative products. AMD's business model focuses on developing high-performance computing and graphics solutions for the consumer, professional, and enterprise markets. The company's product portfolio includes central processing units (CPUs), graphics processing units (GPUs), and related technologies for personal computers, gaming consoles, and data centers.

AMD has positioned itself as a formidable competitor in the semiconductor industry, particularly against rivals such as Intel Corporation (INTC) and NVIDIA Corporation (NVDA). The company has gained significant market traction through its Ryzen and EPYC processors, which are recognized for their high performance and energy efficiency. AMD's Radeon graphics cards also contribute to its competitive edge, appealing to both gamers and professionals in creative industries.

In recent years, AMD has experienced substantial revenue growth, with a notable increase from \$16.43 billion in 2021 to \$23.60 billion in 2022. However, in 2023, the company faced a revenue decline of 3.9%, bringing in \$22.68 billion. Despite this setback, AMD's revenue is projected to grow at a compound annual growth rate (CAGR) of 20.5% through 2027, reflecting the company's strong market position and potential for future expansion.

AMD's financial performance has been marked by fluctuations in profitability. The contribution margin has improved from 46.1% in 2023 to an expected 50.5% by 2025, indicating enhanced operational efficiency. However, the EBITDA margin, which stood at 18.3% in 2023, is projected to reach 42.0% by 2027, suggesting potential for improved profitability.

Despite the promising outlook, AMD faces challenges, such as maintaining competitive pricing and managing operational costs. The company's earnings per share (EPS) have shown volatility, from \$2.61 in 2021 to a lower figure in subsequent years, reflecting pressures on net income.

In comparison to its peers, AMD's EBITDA and EV/EBITDA ratios have been competitive, though they highlight the dynamic nature of the industry. As AMD continues to innovate and expand its product offerings, maintaining its strategic initiatives will be crucial for sustaining growth and enhancing shareholder value in the highly competitive semiconductor market.

Investment Overview

Advanced Micro Devices, Inc. (AMD) has demonstrated notable financial performance with strong revenue growth figures. In 2021, AMD's revenue was \$16.4 billion, which rose significantly to \$23.6 billion in 2022. Although there was a slight revenue decline of 3.9% in 2023, the company rebounded in 2024 with a 13.7% increase, reaching \$25.8 billion. The projected compounded annual growth rate (CAGR) of 20.5% through 2027 reflects a robust outlook for continued revenue expansion.

Key growth drivers include advancements in AMD's product offerings and an increased market presence across its segments. Notably, the company anticipates its EBITDA margin to improve significantly, reaching 42% by 2027 from 25.3% in 2021. This trend is supported by strategic cost management and scaling efficiencies.

AMD's earnings per share (EPS) is expected to grow, rising from \$2.67 in 2025 to \$3.18 in 2027, indicating strong bottom-line performance. However, the PE ratio remains relatively high compared to industry standards, suggesting that investors are pricing in future growth expectations.

In comparison to its peers, AMD has shown a competitive edge in EBITDA growth, especially when considering its 2025 performance relative to Intel (INTC) and NVIDIA (NVDA). The EV/EBITDA ratio, while fluctuating, remains moderate in comparison to NVIDIA's, which suggests potential room for value realization as AMD continues to

execute its growth strategy.

Overall, AMD's financial trajectory and strategic positioning in the semiconductor market offer a positive investment outlook. The company's ability to sustain revenue growth, improve profitability margins, and leverage market opportunities positions it well for future growth, although potential investors should remain cautious of high valuation metrics.

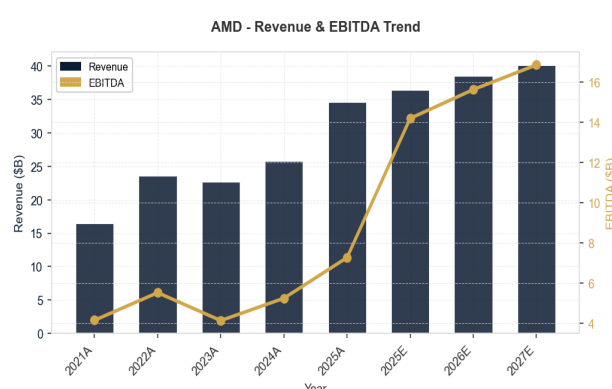
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$34.6B
- EBITDA (2025A): \$7.3B
- Revenue Growth (2025A): 34.3%



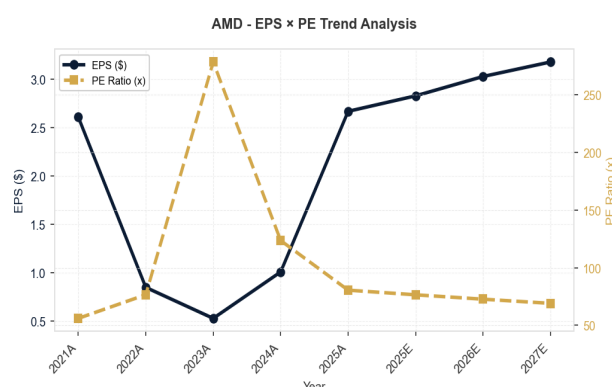
Source: Company Filings

Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 2.67
- PE Ratio (2025A): 80.54



Source: Company Filings

Valuation Analysis

Advanced Micro Devices, Inc. (AMD) has shown a robust growth trajectory in recent years, with significant revenue expansion and improving operational efficiency. The company's revenue is projected to grow at a CAGR of 20.5% through 2027, indicating strong market demand and expansion capabilities. Despite a dip in revenue in 2023, AMD

is expected to recover and continue its growth path with a revenue forecast of \$40.1 billion by 2027.

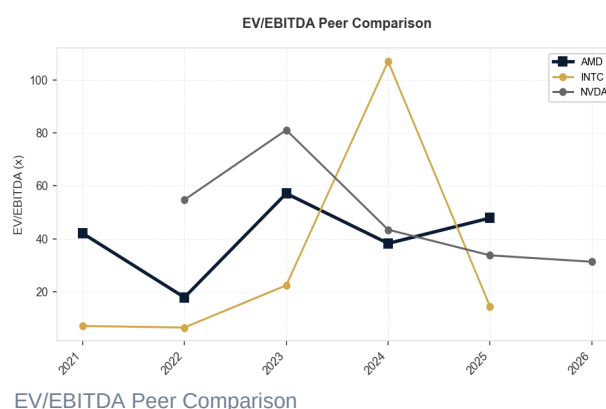
When comparing AMD to its peers, Intel (INTC) and NVIDIA (NVDA), AMD's EBITDA has been competitive, although it trails behind NVIDIA in terms of absolute figures, especially in the later years. NVIDIA's substantial EBITDA growth is reflected in its higher valuations, as seen in the EV/EBITDA ratios. AMD's EV/EBITDA multiple has varied significantly, peaking at 57.12 in 2023, which suggests market volatility and investor sentiment fluctuations.

AMD's price-to-earnings (P/E) ratio is notably high, reaching 278.59 in 2023, indicative of the market's expectations for future growth and profitability despite current earnings. This high P/E ratio, alongside a forecasted EPS growth, suggests that investors are optimistic about AMD's potential to enhance its earnings power.

In terms of fair value assessment, AMD seems to be trading at a premium relative to its historical and peer valuations, driven by its anticipated growth and margin expansion. However, its EV/EBITDA ratio indicates a valuation that is relatively high compared to peers like Intel but lower than NVIDIA, reflecting its position in the competitive landscape. Investors should consider AMD's growth potential against these valuation metrics, keeping in mind the inherent risks and opportunities in the semiconductor industry.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Recent developments for Advanced Micro Devices (AMD) have shown significant market activity and potential investment implications. AMD's stock has soared by 65% in April, driven by a combination of strong market trends and strategic business decisions. The company's recent performance is highlighted by a 13.9% surge in its stock prices, partly due to a sudden CPU shortage which positions AMD favorably in the market. This shortage could potentially lead to increased demand for AMD's processors, providing a tailwind for future revenue growth.

AMD's financial metrics indicate a robust growth trajectory. The company is projecting a compound annual growth rate of 20.5% in revenue through 2027, despite a slight dip in 2023. The EBITDA margin is expected to improve significantly, reaching 42% by 2027, which indicates increasing operational efficiency and profitability.

Despite the positive outlook, Northland Capital Markets recently downgraded AMD from Outperform to Market Perform, suggesting that the recent rally might be nearing its peak. However, AMD CEO Lisa Su is optimistic about

the future, emphasizing that the company is only in the early stages of a significant AI-driven growth cycle. This long-term view aligns with AMD's strategic partnerships, such as compute-for-equity deals with tech giants like Meta and OpenAI, which aim to capitalize on AI advancements.

Retail sentiment shows a mixed picture, with varying degrees of bullishness across platforms. On Reddit, the sentiment has been falling, whereas on X.com, it remains stable and more optimistic. This divergence suggests that while there is enthusiasm around AMD's prospects, there are also cautionary voices considering the rapid stock price increase.

Overall, while AMD's recent performance and strategic positioning in AI and processors present a compelling investment narrative, investors should be mindful of the potential for overvaluation in the short term.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 39.0%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 40.5%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 42.0%

Confidence Intervals:

- Revenue: \$28.3B - \$51.9B (95% confidence)
- EBITDA: \$11.9B - \$21.8B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for AMD

Positive Catalysts (Upside Potential)

- Earnings (2026-04-27): With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-27): Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
- Impact: HIGH, Probability: 95%
- Acquisition (2026-04-27): AMD: Compute-For-Equity Looks Dilutive, But It's Actually A Strategic Masterstroke
- Impact: HIGH, Probability: 40%
- Market (2026-04-27): The Best Artificial Intelligence (AI) Growth Stocks to Buy on the Nasdaq as the Rally Heats Up
- Impact: LOW, Probability: 50%
- Market (2026-04-27): 3 AI Stocks That Can Beat Nvidia Over the Next Five Years
- Impact: LOW, Probability: 50%

Risk Factors (Downside Risks)

- Acquisition (2026-04-27): Eagle Wealth Advisors LLC Invests \$1.19 Million in Advanced Micro Devices, Inc. \$AMD
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-27): 3,688 Shares in Advanced Micro Devices, Inc. \$AMD Bought by Anchrya Partners LLC
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-26): AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. \$AMD
- Impact: HIGH, Probability: 40%

Events to Monitor

- Forget Nvidia: Sudden CPU Shortage Can Make AMD Explode Higher (2026-04-27)
- AMD CEO Says We're Only in Year 2 of 10-Year AI Build Out: Here's the Stock That Profits Most (2026-04-27)
- Intel's CPU Comeback Lifts All Boats — Can AMD and ARM Ride the Same AI Wave? (2026-04-27)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
- ✓ AMD: Compute-For-Equity Looks Dilutive, But It's Actually A Strategic Masterstroke
- ✓ The Best Artificial Intelligence (AI) Growth Stocks to Buy on the Nasdaq as the Rally Heats Up
- ✓ 3 AI Stocks That Can Beat Nvidia Over the Next Five Years
- ✓ Intel, Advanced Micro, And Texas Instruments Are Among Top 10 Large-Cap Gainers Last Week (April 20-April 24): Are the Others in Your Portfolio?
- ✓ Why I'm Still Very Bullish Into AMD Earnings
- ✓ What to Watch in NVDA, AMD, AVGO & Other AI Chips After INTC Rally
- ✓ AMD Gains After DA Davidson Upgrade
- ✓ DA Davidson Upgrades AMD to Buy With a \$375 Price Target: The Big Winner of Intel Earnings?
- ✓ KG Eyes INTC Rally, AMD & TSLA Impact into Mag 7 Earnings Week Ahead
- ✓ Here's Why Advanced Micro Devices (AMD) is a Strong Momentum Stock
- ✓ AMD: You Haven't Seen Anything Yet (Earnings Preview)
- ✓ INTC, NVDA and AMD Forecasts – Chips Looking to Rally
- ✓ AMD Stock Tests Resistance As Intel Beat Sparks Sector Rally
- ✓ Advanced Micro Devices Stock Gets Upgraded to Buy. Why It's the Big Winner of Intel Earnings.

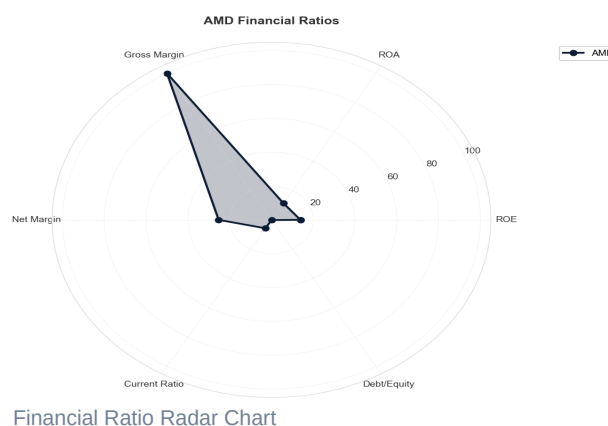
Risk Factors:

- Eagle Wealth Advisors LLC Invests \$1.19 Million in Advanced Micro Devices, Inc. \$AMD
- 3,688 Shares in Advanced Micro Devices, Inc. \$AMD Bought by Anchrya Partners LLC
- AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. \$AMD

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Advanced Micro Devices, Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

Advanced Micro Devices, Inc. (AMD) is a major player in the semiconductor industry, competing directly with giants such as Intel Corporation (INTC) and NVIDIA Corporation (NVDA). Analyzing AMD's financial metrics in comparison to its peers reveals several key insights into its market position and operational efficiency.

AMD's revenue growth has been robust, with a compound annual growth rate (CAGR) of 20.5%. This growth trajectory is commendable, especially when compared to Intel, which has faced revenue challenges in recent years. AMD's revenue figures, however, still trail behind Intel's, reflecting different market focuses and product lines.

In terms of EBITDA, AMD has shown steady growth, although it remains behind NVIDIA, particularly from 2025 onwards when NVIDIA's EBITDA projections soar, indicating their dominance in high-performance GPUs and AI-related products. Intel's EBITDA, while larger than AMD's in the short term, shows volatility and a downward trend, highlighting competitive pressures and strategic shifts.

AMD's EBITDA margin improvement from 18.3% in 2023 to a projected 42.0% by 2027 is significant, suggesting operational efficiency gains and product mix improvements. This margin expansion is crucial for AMD to close the gap with NVIDIA, which consistently enjoys high margins due to its premium product positioning.

The EV/EBITDA ratio reflects AMD's market valuation relative to earnings, with fluctuations indicating market sentiment and growth expectations. AMD's ratio shows a premium valuation in 2023, likely due to investor confidence in future growth, but it is more volatile than NVIDIA's steady decline, which suggests a more consistent market confidence in NVIDIA's sustained performance.

In summary, AMD is positioned well for growth, with strong revenue increases and improving profit margins. However, it faces stiff competition from NVIDIA's dominant position in high-growth sectors and Intel's entrenched market position. AMD's ability to innovate and execute its strategy will be critical in maintaining its competitive edge.

Risk Factors

- **Volatility in Revenue Growth:** AMD's revenue showed a decline of 3.9% in 2023, and future projected growth rates are modest compared to past performance, indicating potential instability in sales momentum.
- **High PE Ratio:** The PE ratio reached 278.59 in 2023, significantly higher than industry norms, suggesting that the stock may be overvalued, which could lead to price corrections.
- **Low EBITDA Margin:** Despite an anticipated improvement, the EBITDA margin was only 18.3% in 2023, which is lower than peers like NVDA, indicating potential issues in cost management affecting profitability.
- **Competitive Pressure:** AMD's EBITDA and EV/EBITDA metrics are significantly lower than those of key competitors like NVDA, suggesting potential challenges in maintaining market share and profitability against stronger competitors.
- **Rising SG&A; Expenses:** The SG&A; margin increased to 12.0% by 2025, indicating escalating operational expenses that could pressure net margins if not managed effectively.

Key Takeaways

- ✓ **Revenue Growth:** Advanced Micro Devices, Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Advanced Micro Devices, Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Advanced Micro Devices, Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Advanced Micro Devices, Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$16.4B	\$23.6B	\$22.7B	\$25.8B	\$34.6B
SG&A	\$1.4B	\$2.3B	\$2.4B	\$2.8B	\$4.1B
Contribution Profit	\$7.9B	\$10.6B	\$10.5B	\$12.7B	\$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	N/A	43.6%	-3.9%	13.7%	34.3%
EPS	2.61	0.85	0.53	1.01	2.67
PE Ratio	56.06	76.60	278.59	123.59	80.54

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
Interest Coverage	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.02	2.36	2.51	2.62	2.85
CF to Debt Ratio	5.33	1.25	0.56	1.37	1.72

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Data Source: FMP, Company Filings, AI4Finance Estimates

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